

Digital Realty Trust, Inc.

NYSE: DLR | Data Center REIT | Sector: Specialized REITs

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Independent equity research · Draft for portfolio purposes

Draft for portfolio purposes — figures sourced to public filings and 2026 guidance; valuation calibrated to current market inputs in the accompanying model. Segment NOI in the NAV is illustrative pending the FY2025 10-K segment disclosure.

1. Company Overview

Digital Realty Trust (NYSE: DLR) is the largest global provider of cloud- and carrier-neutral data center, colocation, and interconnection solutions. As of September 30, 2025, the company operated 311 data centers (including 89 held in unconsolidated joint ventures) comprising approximately 42.7 million square feet of operational space, with a further ~10.2 million square feet under active development. Digital Realty is headquartered in Austin, Texas and led by CEO Andrew Power and CFO Matthew Mercier.

The company carries investment-grade credit ratings of **BBB+ / Baa2 / BBB** (S&P / Moody's / Fitch), all with Stable outlooks. At quarter-end (9/30/25), market capitalization was approximately \$60 billion and total enterprise value approximately \$79 billion.

2. FY2025 Results & 2026 Guidance

FY2025 was a record year, with double-digit growth in revenue, Adjusted EBITDA, and Core FFO per share, driven by the 0–1 MW + interconnection business, backlog commencements, strong releasing spreads, and growing fee income.

Metric (FY2025)	Result	YoY
Total revenue	\$6.11 B	+10%
Core FFO / share (headline)	\$7.39	+10.1%
NAREIT FFO / share	\$6.96	—
Adjusted EBITDA	\$3.34 B	+14% (Q4)
Net debt / Adj. EBITDA	4.9x	—
Fixed charge coverage	4.5x	—
Dividend / share (annualized)	\$4.88	flat

Note on GAAP net income: Q2 2025 included a large one-time gain (~\$2.94 per share), which distorts GAAP net income for the year. Core FFO per share (\$7.39) is the cleaner operating metric and the basis for the valuation engine in the accompanying model.

2026 Guidance (issued 2/5/2026)	Range
Constant-currency Core FFO / share	\$7.90 – \$8.00 (~8% growth)
Total revenue	\$6.60 – \$6.70 B

Adjusted EBITDA	\$3.60 – \$3.70 B
Renewal spreads (cash / GAAP)	6–8% / 8.5–10.5%
Same-capital cash NOI growth	+4 – 5%

3. Valuation Framework

The accompanying three-statement model values DLR using two complementary approaches:

- DCF (FCFE): projected Core FFO per share → AFFO → free cash flow to equity, discounted at the cost of equity (CAPM), with an exit-cap terminal value on stabilized AFFO.
- NAV: forward stabilized segment NOI capitalized at market cap rates, plus development at cost and cash, less total debt and preferred equity.

Key sensitivity — calibrate before concluding: Both outputs are highly sensitive to the cap-rate, growth, and discount-rate assumptions, and the cap rate is the single largest driver of the NAV. Per CBRE, Class-A data-center assets are currently pricing at roughly 100–150 bps over the 10-year Treasury — about 5.5–6.0% at today's ~4.4% 10-year — with the October 2025 Aligned Data Centers transaction (~\$40 B) a recent large-scale reference. The model has been calibrated to these levels (5.5% hyperscale / 6.0% colocation, a 5.75% terminal exit cap, and a 9.5% cost of equity), up from the prior conservative 6–7% defaults; the segment NOI split remains illustrative pending the 10-K segment disclosure.

4. Investment Thesis

The constructive case for DLR rests on four pillars, each anchored to the model and the filings.

The first is structural: demand is outrunning a supply base that cannot respond on the same timeline. AI and cloud capacity demand is compounding while the binding constraint has shifted from capital or chips to power — grid-interconnection queues now run years and primary-market vacancy sits at record lows. As the largest global platform, DLR captures that demand where it is scarcest, and the supply constraint is precisely what allows pricing and occupancy to compound rather than mean-revert.

The second is competitive: the 0–1 MW and interconnection franchise is a durable moat with real pricing power. Tenants deployed across DLR's interconnected campuses face high switching costs, which shows up directly in pricing: 2026 renewal spreads are guided to 6–8% cash and 8.5–10.5% on a GAAP basis. That franchise separates DLR from a commodity wholesale developer and underwrites the recurring, escalating cash flows the valuation depends on.

The third is growth: the development pipeline, funded capital-light, is the engine the stabilized valuation excludes. DLR has roughly 10 million square feet under construction and increasingly funds it through joint ventures and private capital, limiting balance-sheet strain and equity dilution while still capturing development spreads. This is exactly the value a stabilized NAV/DCF leaves out — and, as Section 5 notes, what the market premium is paying for.

The fourth is defensive: an investment-grade balance sheet underpins the whole thesis. DLR carries BBB+/Baa2/BBB ratings with leverage held near or below 5x net debt/EBITDA, giving it cheaper, more reliable access to capital than lower-rated operators in a capital-intensive sector — the defensive quality that makes it the cleanest way to own the data-center build-out in public markets.

5. Valuation Conclusion

On calibrated inputs — a 9.5% cost of equity (beta 1.0 × a 5.0% equity-risk premium over a 4.5% risk-free rate), market cap rates of 5.5% for hyperscale and 6.0% for colocation, a 5.75% terminal exit cap, and a Core FFO/share growth path tapering from ~8% in 2026 to 4% by 2030 — the model produces a DCF value of approximately \$120/share, an NAV of approximately \$143/share, and a blended target of approximately \$131/share, against the current ~\$204 price (an implied ~35% downside to intrinsic).

The cap rate is the dominant NAV driver: because net debt is fixed, compressing the blended cap toward the market level lifts equity NAV sharply, yet even the most aggressive defensible corner of the sensitivity grid — a 5.0% hyperscale cap — yields only about \$162/share, still roughly 20% below the market price. The DCF ranges from about \$104 to \$140 across plausible discount-rate and exit-cap combinations.

The central finding is therefore not a mispricing to be corrected but a structural premium to be understood: DLR trades at roughly 1.5× a market-calibrated stabilized NAV, and that premium is the value the market assigns to the development pipeline (~10 million sq ft under construction) and the multi-year AI-driven growth runway that a stabilized NAV/DCF deliberately excludes. The model establishes the intrinsic floor; the premium is the growth bet.

6. Key Risks

Five risks bound the thesis, and each cuts in two directions.

Cap-rate expansion and rate sensitivity. Valued off capitalized cash flows, DLR is highly sensitive to cap rates and long rates: the model's NAV sensitivity shows that a roughly 100 bps move in the cap rate swings per-share value materially, and the current ~55% premium to stabilized intrinsic is most exposed if rates rise or data-center cap rates normalize from today's tight levels. The offset is that the scarcity driving demand has kept cap rates firm, and the investment-grade balance sheet limits refinancing pressure if rates stay elevated.

Development execution and lease-up timing. The growth case depends on the pipeline delivering on schedule and leasing up at expected rents; power-interconnection delays — the sector's dominant bottleneck — can push deliveries out and defer the associated FFO. Roughly three-quarters of the pipeline is pre-leased, which de-risks lease-up, but does not remove construction- and power-timing risk.

Power availability and cost. Power is the binding constraint, and it cuts both ways: scarcity supports rents and occupancy today, but a prolonged interconnection freeze would cap DLR's ability to grow into demand, while rising power costs and community opposition introduce rate-pass-through and political risk in key markets. It is the one risk that is also partly the thesis's own engine.

Demand digestion or supply catching up. The capex cycle funding today's demand is historically large and increasingly debt-financed; if hyperscaler AI spending slows or new supply normalizes faster than expected, leasing volumes and renewal spreads would soften and the growth premium would compress. The contracted backlog — hyperscaler performance obligations that underwrite near-term demand even if forward orders cool — makes this more a timing risk than a thesis-breaker.

Foreign-exchange exposure. A material share of revenue is earned in EMEA and APAC, so a stronger dollar weighs on reported, US-dollar Core FFO independent of operating performance.

DLR guides on a constant-currency basis and hedges, which dampens but does not eliminate the translation effect.

7. Recommendation

Hold. DLR is a best-in-class, investment-grade owner of an asset class with a powerful secular demand tailwind, but at roughly a 55% premium to stabilized intrinsic value (~\$131 blended) it offers no margin of safety at the current ~\$204. The premium is defensible on growth and development optionality; paying it in full, however, leaves little room for execution missteps, cap-rate normalization, or a demand digestion.

The disciplined expression of a constructive long-term view is to own the quality and accumulate on the power- and rate-driven pullbacks that periodically reprice the group, rather than chase at the highs, and to trim into euphoria. A move to Buy would require either a pullback that restores a margin of safety or evidence that the growth runway warrants a structurally higher multiple than a stabilized model assumes.

Sources & Disclosures

Sources — primary filings:

- Digital Realty Q4 2025 results press release (February 5, 2026): FY revenue, Core FFO, 2026 guidance.
- Digital Realty Q3 2025 Form 8-K, Exhibit 99.1, SEC EDGAR (filed October 23, 2025): quarterly income statement, balance sheet, leverage, share counts, credit ratings.
- SEC EDGAR, Digital Realty Trust, Inc., CIK 0001297996.

Disclosure: This is independent research prepared for portfolio and educational purposes by a CFA candidate. It is not investment advice and not a recommendation to buy or sell any security. All financial figures are drawn from public filings and should be reconciled to Digital Realty's FY2025 Form 10-K before any decision. The author calibrates all forward assumptions and valuation conclusions independently.